There has been much talk recently in some rich countries of scrapping cash altogether so that they can become ‘cashless societies’. In this futuristic world, all payments will be made by contactless cards, mobile phone apps and other electronic means, while notes and coins will stand abolished. Denmark is reportedly in the forefront in this regard where, under a new proposal, paper money transactions will be disallowed, except, for now, in places like hospitals. The Danish central bank will stop printing currency, and banks will stop carrying cash. In Sweden, it is common practice already for parents to pay pocket money to their children electronically.

There are three main motivations behind this aspiration to a cashless society. The first is the straightforward incentive of avoiding the cost of printing money in the expectation that people will embrace electronic payments once they discover how easy, convenient and efficient they are. Second, forcing people into electronic payments will enable an audit trail of all financial transactions and minimize tax evasion. Third, increasingly, an important motivation for scrapping cash is to choke drug dealers and terrorist organizations who typically use high-denomination notes for their financing.

The case for doing away with cash has gained currency in recent months in the context of some advanced economy central banks, with the ECB and central banks of Japan, Sweden and Switzerland embarking on negative interest rates. In the midst of a contentious debate on the merits and demerits of negative interest rates, an argument has been made that the way to make negative interest rates effective is to ban cash altogether. The objective of negative interest rate is to make people spend rather than save. But, as long as there is cash, people can thwart negative interest rates by hoarding their savings in a safe or under the proverbial mattress. In the absence of cash, on the other hand, people will be encouraged to spend, as the alternative is to lose value by saving in a bank.

Some people have even argued that abolishing cash will give traction to monetary policy even in the normal world of positive interest rates. Since all savings will be in the banking system, it is argued, central banks can